



Australian
Competition &
Consumer
Commission

11 March 2009

Statement of Issues — A Gange Pty Ltd - proposed acquisition of West Suburban Taxis Pty Ltd

1. Outlined below is the Statement of Issues released by the Australian Competition and Consumer Commission (ACCC) in relation to the proposed acquisition of West Suburban Taxis Pty Ltd by A Gange Pty Ltd (**proposed acquisition**).
2. A Statement of Issues published by the ACCC is not a final decision about a proposed acquisition, but provides the ACCC's preliminary views, drawing attention to particular issues of varying degrees of competition concern, as well as identifying the lines of further inquiry that the ACCC wishes to undertake.
3. In line with the ACCC's *Merger Review Process Guidelines* (available on the ACCC's website at www.accc.gov.au) the ACCC has established a secondary timeline for further consideration of the issues. The ACCC anticipates completing further market inquiries by **31 March 2009** and anticipates making a final decision on **15 April 2009**. However, the anticipated timeline can change in line with the *Merger Review Process Guidelines*. To keep abreast of possible changes in relation to timing and to find relevant documents, market participants should visit the Mergers Register on the ACCC's website at www.accc.gov.au/mergersregister.
4. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Background

5. On 27 January 2009, the ACCC commenced an informal review of A Gange Pty Ltd's proposed acquisition of West Suburban Taxis Pty Ltd.

The parties

A Gange Pty Ltd

6. Gange Corporation Australia Ltd is the parent company of four subsidiary business entities, all of which are involved in the Victorian taxi industry. These businesses are as follows:
 - *A Gange Pty Ltd (Gange)*, the proposed acquirer, which holds 43 metropolitan Melbourne taxi licences;
 - *Astoria Pty Ltd*, which holds 62 metropolitan Melbourne taxi licences;
 - *Littles Pty Ltd*, which holds 10 metropolitan Melbourne taxi licences; and
 - *Silver Top Taxi Service Ltd (Silver Top)*, which is an accredited primary taxi depot. Silver Top operates across metropolitan Melbourne but has traditionally focused on its operations in the CBD and inner suburbs. Silver Top's interests include:
 - *Silver Comm Pty Ltd*, which is a wholly owned subsidiary. Silver Comm specialises in the provision of radio networks for taxis, along with the repair and maintenance of equipment for communication, EFTPOS and security cameras; and
 - *Geelong Taxi Network*, which is a 50:50 joint venture between Silver Top and Geelong Radio Cabs.
7. Silver Top is the largest taxi depot in Melbourne in terms of the number of affiliated taxis. Silver Top has traditionally focused its operations in the CBD and the inner city suburbs.

West Suburban Taxis Pty Ltd

8. West Suburban Taxis Pty Ltd (**WST**) is an accredited primary taxi depot. WST is a relatively small depot, primarily servicing Melbourne's western suburbs. WST is owned by a small number of shareholders, one-third of which operate taxis.

Other industry participants

Black Cabs

9. The Black Cabs Combined Network (**Black Cabs**) is owned by the Cabcharge Group.
10. Black Cabs trade as Yellow Cabs, 13CABS, Arrow Taxis, Embassy Taxis and North Suburban.
11. Black Cabs is the second largest depot operating in the Melbourne metropolitan taxi zone. Black Cabs has traditionally focused on servicing the southern, eastern and outer northern suburbs of Melbourne.

Platinum

12. Platinum is a small accredited depot located in North Melbourne. Platinum received accreditation in November 2008.
13. In addition to its small primary depot, Platinum operates a significant secondary network which includes taxis currently affiliated with Silver Top and Black Cabs. Secondary or 'trunking' networks allow drivers that receive direct bookings from customers to share these bookings with other drivers within the network if they are unavailable.
14. Platinum is a niche operator that primarily services the corporate segment of the market.

Summary

15. Silver Top and Black Cabs are the dominant providers of primary taxi depot services in metropolitan Melbourne, accounting for the vast majority of the taxi fleet operating in this zone. WST is a smaller depot, with a particular focus on servicing the western suburbs, while Platinum are a smaller player, with a focus on servicing the corporate segment of the market.

Market inquiries

16. On 4 February 2008, the ACCC commenced market inquiries regarding the proposed acquisition. A range of interested parties provided responses, including competitor taxi depots, taxi operators and interested third parties.

Areas of overlap and market definition

17. Silver Top and WST overlap in the provision of taxi depot services to taxi operators and in the provision of passenger taxi services to the general public in the metropolitan Melbourne taxi zone. Both depots maintain a radio network to act as a booking agent for taxi operators, and provide telephone booking services to the general public on behalf of the taxi operators aligned with the depot.
18. Consistent with the ACCC's findings in previous matters, the ACCC considers that the relevant markets are:
 - the supply of pre-booked taxi services to the general public in the metropolitan Melbourne taxi zone; and
 - the supply of taxi depot services to taxi operators in the metropolitan Melbourne taxi zone.

Statement of issues

19. For the purposes of this Statement of Issues, the issues in this matter are divided into two categories, 'issues that may raise concerns' and 'issues unlikely to pose concerns'.

Issues that may raise concerns

Removal of WST as a vigorous competitor

20. Silver Top and WST are currently the first and third largest taxi depot providers in the Melbourne metropolitan taxi zone. The ACCC considers that the proposed acquisition by Gange of WST may have the potential to reduce competition for the supply of taxi services to the general public.
21. In particular, the ACCC is of the view that the proposed acquisition may lead to a reduction in the quality of taxi services. The ACCC understands that Silver Top and WST currently compete for bookings within the Melbourne metropolitan taxi zone, predominantly in the western suburbs of Melbourne. Given that the fares paid by the general public are regulated, the current nature of competitive tension between depots in attracting jobs primarily relates to the *quality* of taxi services provided.
22. The ACCC's market inquiries have indicated that WST is a strong competitor in terms of the quality of its service offering.
23. The ACCC invites further information and comments on this issue. In particular, the ACCC seeks further information in relation to:
 - *Competition between Silver Top and WST for the supply of pre-booked taxi services to the general public.* The ACCC invites market participants to provide comment on, and preferably provide specific examples of, competition between Silver Top and WST in terms of quality of service or other dimensions of competition they may identify. These might include information and data on:
 - pick-up response times,
 - phone answering times,
 - cleanliness of taxis and driver courtesy,
 - driver knowledge of routes and destinations,
 - advertising, marketing and promotion, and
 - customer complaints.

The ACCC invites consumers to make submissions on the above issues and whether they have switched between the two taxi companies due to differences in customer service.

Reduction in potential competition from WST

24. Information provided to the ACCC indicates that there are high barriers to entry for new taxi depots. While the capital costs of entry do not appear to be prohibitive, depots face the hurdle of needing to attract a 'critical mass' of affiliated operators in order to be able to service customer needs.
25. A key difficulty in achieving this 'critical mass' is the difficulty in attracting drivers and operators during the initial period where customer goodwill is still

being established and booking numbers are low. Other barriers to operators switching depots — the cost to the operator of having the taxi off the road while equipment/signage is changed, the cost of familiarising themselves with the new communications/dispatch equipment and, in some cases, the cost of forfeiting the bond held with the original depot — further decrease the likelihood that a new depot can attract a critical mass of taxi operators.

26. The ACCC considers that in a market with such entry barriers, the removal of the third largest player may act to entrench the dominant position of Black Cabs and Silver Top, thereby reducing potential future competition for the supply of taxi services to the general public.
27. The ACCC invites further information and comments on this issue. In particular, the ACCC seeks further information in relation to:
 - *Barriers to entry.* The ACCC is interested in the likelihood of new entry on a scale capable of competing with the merged entity and Black Cabs. The ACCC seeks further information and evidence on the costs and barriers to entry for a new taxi depot provider, in particular:
 - the number of taxis required to achieve a ‘critical mass’ at a taxi depot,
 - whether the size and projected population growth of metropolitan Melbourne would be sufficient for a new taxi depot to be viable,
 - the likelihood that a depot could acquire a sufficient number of licences as a means to achieve ‘critical mass’,
 - the timeframes associated with establishing goodwill at a new taxi depot,
 - barriers to operators or drivers switching between depots, and
 - whether the removal of WST as an independent competitor increases the existing entry barriers in any way.
 - *Reduction in potential competition from WST.* The ACCC is interested in the extent to which the acquisition may remove a significant potential competitor to the two dominant network service providers — Silver Top and Black Cabs — going forward. In particular, the ACCC seeks the views of market participants on whether there are any barriers to WST expanding its operations to provide more extensive service coverage within the Melbourne metropolitan taxi zone.

Issues unlikely to pose concerns

28. The ACCC considers that the acquisition by Gange of WST is unlikely to pose competition concerns in the market for the supply of depot services to taxi operators in the Melbourne metropolitan taxi zone. Information provided to the ACCC indicated that there is limited competition between Silver Top and WST to attract operators.

29. Nonetheless, the ACCC will accept further submissions from industry participants and will further consider possible competition concerns in this market if it considers that such an assessment is warranted.

ACCC's future steps

30. The ACCC will finalise its view on this matter after it considers market responses invited by this Statement of Issues.
31. The ACCC now seeks submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter.
32. Submissions are to be received by the ACCC no later than **31 March 2009**. The ACCC will consider the submissions received from the market and the merger parties in light of the issues identified above and will, in conjunction with information and submissions already provided by the parties, come to a final view as to the appropriate course of action to take to resolve any competition concerns that remain.
33. The ACCC intends to publicly announce its final view by **15 April 2009**. However the anticipated timeline may change in line with the *Merger Review Process Guidelines*. A public Competition Assessment for the purpose of explaining the ACCC's final view may be published following the ACCC's public announcement.